also in the public interest.[154] Thus, often, public interest factors are considered along with the *prima facie* strength of the infringement case or the invalidity defense.[155]

Public interest forms part of the matrix considered by the court and need not always be a dispositive factor in every case. For instance, in *Bayer Intellectual Property GmbH* v. *Ajanta Pharma Ltd*,[156] factors such as loss of employment and revenue earned by the state – even in cases where the patented drugs were not of a lifesaving nature – were considered by the Delhi High Court. However, in a subsequent decision, *Bayer Intellectual Property GmbH* v. *BDR Pharmaceuticals International Pvt. Ltd*,[157] another judge of the same High Court held that the export of non-lifesaving drugs would not qualify under the test of public interest merely due to encouraging economic activity and the country earning foreign exchange revenue.

The Delhi High Court, in *Merck Sharp and Dohme Corp.* v. *Glenmark Pharmaceuticals*,[158] invoked several equitable principles to guide the exercise of discretion in granting injunctions. These included an assessment of the parties' conduct, whether the defendant attempted to clear the way by filing oppositions or seeking revocation, and so on.

It is also common for defendants to raise pleas of nonworking of patents or nonfiling of working statements to defend against interim injunctions as part of the balance of convenience and public interest factors. The working requirements under the Patents Act, 1970, are stringent. The legislative history shows that the nonworking of patents by foreign companies was one of India's most significant concerns when drafting the legislation. In a case concerning a patented respiratory disorder drug, the Delhi High Court, in *Cipla Ltd* v. *Novartis AG*,[159] held that the mere nonmanufacturing of sufficient quantities in India alone could not result in the denial of an interim injunction. However, defendants are free to apply for a compulsory license in such cases. There is an earlier opposing view suggesting that the nonworking of a patent could lead to denial of injunctive relief.[160] The later view in *Cipla* is now the more prevalent view. Though no compulsory license was granted during the COVID-19 pandemic, in dealing with cases relating to shortages of essential medicines used in the treatment of COVID-19, both the Supreme Court and the High Court have made observations favoring such steps being taken by the Government.[161]

6.6.4.1.3 Irreparable injury

The third and equally important consideration is the condition of irreparable injury. This refers to the patentee having no other remedy available other than an injunction. Irreparable injury, however, does not mean that there must be no physical possibility of repairing the injury. Instead, it means only that the injury must be a material one – namely, one that cannot be adequately compensated in damages.

In *Merck Sharp and Dohme Corp.* v. *Glenmark Pharmaceuticals*,[162] the Delhi High Court recognized that, in cases where the patentee has been the sole supplier of the patented technology, allowing a defendant to enter the market may cause irreparable injury.

6.6.4.2 Other preliminary reliefs

6.6.4.2.1 Local commissioners

Order XXVI(9) of the Code of Civil Procedure provides for the appointment of LCs. Such LCs are appointed upon the establishment of a strong *prima facie* case. In cases of a patent infringement action, LCs have been appointed by the Indian courts to record evidence.

154 *Merck Sharp and Dohme Corp.* v. *Glenmark Pharmaceuticals*, 2015 SCC Online Del. 8227.
155 *Merck Sharp and Dohme*, 2015 SCC Online Del.; see also *Bristol-Myers Squibb Co.* v. *JD Joshi*, CS (OS) 2303 of 2009; *Bristol-Myers Squibb Co.* v. *D Shah*, CS (OS) 679 of 2013.
156 CS (COMM) 1648 of 2016, order dated Jan. 4, 2017.
157 CS (COMM) 107 of 2017, order dated Feb. 16, 2017.
158 *Merck Sharp and Dohme*, 2015 SCC Online Del.
159 2017 SCC Online Del. 7393.
160 See *Franz Xaver Humer* v. *New Yash Engineers*, (1996) ILR 2 Del. 791.
161 *In re Distribution of Essential Supplies and Services during Pandemic*, Suo Motu Writ Petition (Civil) 3 of 2021, order dated April 30, 2021; *Rakesh Malhotra* v. *Government of National Capital Territory of Delhi*, WP (C) 3031 of 2020, order dated April 20, 2021.
162 *Merck Sharp and Dohme*, 2015 SCC Online Del. 8227.

An order for the appointment of an LC is usually made in patent litigation if, for example, the manufacturing processes need to be ascertained. The LC is then appointed by the court with strict terms and conditions. Typical conditions imposed include:[163]

- that the LC visits the premises of the defendant or plaintiff, as the case may be;
- that the LC ascertain the manufacturing process being used, including inspection of the raw material registers, excipient data, the quantum of manufacturing and so on;
- that the accounts of manufacture, sales and so on are inspected;
- that the LC visits the Customs authorities to retrieve samples of alleged infringing products;
- permitting the LC to take photographs and videotape the proceedings; and
- permitting party representatives to accompany the LC, including counsel, to render assistance.

At the end of the execution of the commission, a memorandum of proceedings is prepared by the LC, recording the chronology of events that transpired in the commission and the observations of the LC. This is signed by the LC and the parties, and the LC must give copies of the same to each party. Thereafter, a report is filed before the court, giving a full account of the proceedings. Such a report filed by the LC can be read in evidence without the statement of the LC being recorded in terms of Order XXVI(14)(2) of the Code of Civil Procedure. So long as the court can confirm that the report is genuine and authentic, it forms part of the record. Parties may have objections to the contents of the LC's report, in which case they can file objections. The objections are then adjudicated by the court before the report is fully read as evidence.

The LC so appointed is not performing a judicial act but a "ministerial act." Nothing is left to the discretion of the LC, and there is no occasion to use judgment or adjudicate the issues involved. The LC only notes details and reports the actual state of affairs. The LC cannot decide the dispute, but their report helps the court in doing so.[164] In short, the LC's report is one of fact-gathering, not adjudication or determination.

6.6.4.2.2 Interim deposits and other ad interim arrangements

The interim injunction stage may become protracted owing to the technical issues surrounding patents. In such instances, and in a fitting case, courts usually put in an ad interim arrangement. In general, courts enjoy extensive discretion to mold the interim relief to suit the circumstances. For example, courts have directed interim deposits by defendants in SEP cases or have directed the submission of bank guarantees or some form of security to secure the plaintiff's interest.[165] In the recent non-SEP case of *Communication Components Antenna Inc.* v. *Ace Technologies Corp.*,[166] the High Court's interim direction to secure the plaintiff by way of a deposit of royalties and bank guarantee was upheld by the Supreme Court of India.[167]

Equally, in such cases of interim deposits, courts have required the patentee to furnish surety bonds for the amount received on a quarterly basis with advance copies.[168]

6.6.5 Discovery and gathering of information

At or before the case management hearing, it is usual for parties to admit and deny the respective documents filed by the other party and to also seek discovery, inspection or the production of documents from the other party.[169] Upon an appropriate application by one party, the court may direct the other party to respond to written interrogatories on affidavit,[170] permit the inspection of documents relied upon or referred by the other party,[171] allow discovery of relevant documents on affidavit,[172] or direct the production of documents.[173]

163 E.g., Victoria Foods Private Limited v. Rajdhani Masala Co. & Anr., CS(COMM) 108 of 2021, order dated March 24, 2022; *Sun Pharma Laboratories Ld. v. Interio International P. Ltd & Ors.*, CS(COMM) 184 of 2022, order dated March 28, 2022.
164 *Saraswathy* v. *Viswanathan*, 2002 (2) CTC 199.
165 E.g., Telefonaktiebolaget LM Ericsson (Publ.) v. *Intex Technologies (India) Ltd*, CS (OS) 1045 of 2014, judgment and order dated March 13, 2015; *Dolby International* v. *GDN Enterprises Pvt. Ltd*, CS (COMM) 1425 of 2016, orders dated Oct. 27, 2016, and Nov. 23, 2016; *Koninklijke Philips NV* v. *Vivo Mobile Communications Co. Ltd*, CS (COMM) 383 of 2020; *Koninklijke Philips NV* v. *Xiaomi Inc.*, CS (COMM) 502 of 2020.
166 CS (COMM) 1222 of 2018, order dated July 12, 2019.
167 *Communication Components Antenna Inc.* v. *Ace Technologies Corp.*, SLP (C) 21938 of 2019, order dated Sep. 20, 2019.
168 *Telefonaktiebolaget LM Ericsson* v. *Mercury Electronics*, 2015 (64) PTC 105 (DEL).
169 Code of Civil Procedure, 1908, Order XI.
170 Code of Civil Procedure, 1908, ord. XI rr. 1–8.
171 Code of Civil Procedure, 1908, ord. XI rr. 15, 17–18.
172 Code of Civil Procedure, 1908, ord. XI rr. 12–13.
173 Code of Civil Procedure, 1908, ord. XI rr. 14, 16.

Courts are always empowered to dismiss the suit or defense for want of prosecution if a party does not comply with an order to answer interrogatories or the order for discovery, inspection or the production of documents.[174] For instance, in SEP cases, the defendants or the plaintiff would be made to share the claim-mapping charts as part of the exchange of documents to prove that the patents map the standards for which they are sought to be enforced.

Often, discovery and inspection procedures are used to seek irrelevant information and protract litigation. For instance, defendants may seek entire file wrappers from all jurisdictions just as a matter of course. However, courts do not permit such a roving inquiry or fishing expedition, and the party concerned is entitled to move the court to curtail the kind of information or type of documents being sought. The other side of this is "data-swamping" or "data-flooding," whereby a party against whom disclosure is ordered inundates the other party with all manner of documentation in an attempt to bury the crucial material in a mountain of irrelevance. The Code of Civil Procedure enables parties to seek and defend against any discovery tool, with the courts being the final arbiter if disputes arise in this context. Again, this process demands judicial time (and enough human resources on the bench) and well-honed forensic skills on all sides.

Courts also retain wide discretion in directing the production of documents under certain conditions. To enable discovery and inspection of license agreements, manufacturing processes followed and so on – which may be confidential – courts usually constitute confidentiality clubs to maintain the confidentiality of the information disclosed.[175] There has been recent debate as to whether litigants can be part of these confidentiality clubs.[176] However, as far as the constitution of the clubs is concerned, there appears to be no dispute; the confidentiality club, once constituted, considerably streamlines the process of discovery and inspection of documents.

Recently, the High Court of Delhi Rules Governing Patent Suits, 2022 have been notified. These rules provide for a minimum mandatory content for pleadings in patent suits,[177] a minimum set of mandatory documents to be filed by the parties,[178] and specific tweaks in patent suit procedures. For instance, in addition to regular pleadings, the rules provide that parties be allowed to file claim construction, invalidity, infringement briefs and technical primers based on which the court is to frame issues in the first case management hearing.[179] A second case management hearing is provided for streamlining the recording of evidence, including the protocol for a hot-tubbing mechanism.[180] A reserve third management hearing is provided to address any pending pre-trial concerns.[181] Importantly, the rules contemplate the creation of a panel of scientific experts to assist the court.[182] While setting the calendar and protocols for a final hearing, the court may also direct that a technical expert of each party may also be present to assist the court.[183]

6.6.6 Summary proceedings

The Commercial Courts Act, 2015, through its amendment to the Code of Civil Procedure, permits parties to seek summary adjudication.[184] Either party may seek such summary disposal if the other party has no real prospect of succeeding and if there is no other compelling reason why the claim should not be disposed of before recording oral evidence.[185]

Such summary adjudication under Order XIII-A of the Code of Civil Procedure can be sought by filing a specific application and setting out the specific grounds.[186] The application is to be filed before issues are framed.[187] When adjudicating such an application for summary disposal, courts

174 Code of Civil Procedure, 1908, ord. XI rr. 21.
175 *M Sivasamy* v. *Vestergaard Frandsen A/S*, 2009 (113) DRJ 820 (DB); *Telefonaktiebolaget LM Ericsson (Publ.)* v. *Lava International Ltd*, CS (OS) 764 of 2015, order dated March 1, 2016; *Pfizer Inc* v. *Union Remedies Ltd*, 2016 SCC Online Bom. 8599; Delhi High Court (Original Side) Rules 2018, ch. VII r. 17.
176 *Interdigital Technology* v. *Xiaomi Corp.*, CS (COMM) 295 of 2019, order dated Oct. 9, 2020.
177 High Court of Delhi Rules Governing Patent Suits, 2022, r. 3.
178 High Court of Delhi Rules Governing Patent Suits, 2022, r. 4.
179 High Court of Delhi Rules Governing Patent Suits, 2022, rr. 7(v), 8.
180 High Court of Delhi Rules Governing Patent Suits, 2022, r. 9.
181 High Court of Delhi Rules Governing Patent Suits, 2022, r. 10.
182 High Court of Delhi Rules Governing Patent Suits, 2022, r. 13.
183 High Court of Delhi Rules Governing Patent Suits, 2022, r. 15.
184 Code of Civil Procedure, 1908, ord. XIII-A. This order was inserted by the Commercial Courts Act, 2015.
185 Code of Civil Procedure, 1908, ord. XIII-A r. 1(3).
186 Code of Civil Procedure, 1908, ord. XIII-A r. 1(4).
187 Code of Civil Procedure, 1908, ord. XIII-A r. 1(2) proviso.

enjoy broad discretion to pass a variety of orders, including, for instance, conditional orders that require the deposit of money or furnishing security.[188]

Another possibility of summary disposal is under Order XII(6), by which the court is empowered to pass judgment based on admissions of fact made either in the pleading or even otherwise. The admissions made by patentees during prosecution, whether in India or any foreign jurisdiction, can be construed as admissions under the Code of Civil Procedure and result in summary disposals. The logic is straightforward and self-evident: no patentee should be permitted to make conflicting claims in different jurisdictions. A patentee must be held to be bound by statements made with regard to that specific patent claim, irrespective of where and when that claim is made. This is a species of estoppel.

Such summary procedures help the court to considerably narrow the scope of controversy. For instance, in negotiations for licensing, defendants usually admit that they need the license, and the only dispute that remains is about the licensing amount. In such suits, the court can rely on the correspondence between the parties to issue summary judgments.

Similarly, such summary adjudication has proved workable in SEP litigation: for example, where an ex-licensee of the SEP has refused to renew the license due to a failure of commercial discussions. The dispute is then restricted only to the monetary claim of the licensing fee, and other issues, such as infringement or validity, do not arise. While an ex-licensee is not estopped or precluded from challenging the validity of a patent at any time, courts are reluctant to entertain validity challenges when an erstwhile licensee elects to challenge the patent's validity only at the time of a license renewal agreement after having enjoyed a license for several years. A court will permit such a challenge to proceed only on a demonstration of some glaring fact that goes to the root of validity and which was noticed at the time of the original licensing.

6.6.7 Evidence

6.6.7.1 Oral evidence and trial

The examination in chief (direct examination) of witnesses is compulsorily on affidavit.[189] Cross-examination and reexamination ("redirect") are taken orally live and transcribed. Often, to save the court's time, the recording of the oral evidence is done either before the registrar of the court or before an LC. Unlike a court, LCs and registrars are not empowered to rule on objections raised during the evidence.[190] However, the commissioner is entitled to enter notes they think material, about a witness' demeanor so that the same is available to the court at the time of final hearing.[191]

Usually, trials take between three and five years from the date of filing to conclude, though there have been some patent cases where the trial concluded in six months to a year. Under the Commercial Courts Act, 2015, the court schedules the entire trial so that the recording of evidence is not drawn out. The trial could be day-to-day, and it is common for the courts to explicitly direct as such to reduce inconvenience to witnesses.[192] Once the trial of a suit concludes, the matter proceeds to a final hearing.

It is usual for witnesses from foreign jurisdictions to record their statements through videoconferencing. Following the COVID-19 pandemic, virtual courts and online platforms are usually used even for court hearings. Litigants can join proceedings physically, and, if the court has the facility, they can also join the hearing through a videoconferencing facility.

Witnesses are usually in-house representatives or attorneys from the respective parties who have themselves dealt with the litigation and the correspondence between the parties. A witness is not expected to have direct personal knowledge of every part of the deposition; it is enough if the witness can depose to company records and the record of the suit. In some areas, the testimony of people with personal knowledge is preferred – for example, for evidence about discussions in

188 Code of Civil Procedure, 1908, ord. XIII-A r. 1(6).
189 Code of Civil Procedure, 1908, ord. XVIII r. 4(1).
190 Code of Civil Procedure, 1908, ord. XVIII proviso.
191 Code of Civil Procedure, 1908, ord. XVIII r. 4(4).
192 See Section 6.6.4 of this chapter.

negotiations, the exchange of correspondence, some technical knowledge leading to the grant of the patent and so on.

Other witnesses are usually technical witnesses. In some cases, the inventor is also produced as a witness to strengthen the case of the plaintiff. Experts such as doctors, specialists, economists and accountants have also been produced in the court to establish other aspects of the litigation, such as the calculation of damages, distinguishing the prior art, mapping standards and so on. The inquiry into damages is crucial at the final stage, and, therefore, economists, financial experts or accountants who can analyze and depose to the computation of damages or royalties payable are vitally important in establishing the monetary aspect of the infringement case. Thus, the general practice is to have both in-house and expert witnesses.

6.6.7.2 Who leads evidence first? Can a defendant be directed to lead evidence first?

The Patents Act, 1970, does not specifically provide a procedure for evidence in cases of patent infringement. Instead, the procedure adopted for leading evidence in suits for infringement is in accordance with the Code of Civil Procedure[193] and the Indian Evidence Act, 1872. Under the latter, the onus of proof is on the person making a positive assertion. Thus, the patentee-plaintiff must lead evidence first to establish infringement. The defendant leads evidence thereafter to support its defenses or its counterclaim of invalidity. However, this is not a rigid rule. In a case where the defendant admits infringement, and the only question for decision is validity, the court may direct the defendant to lead evidence first. Thus, as provided under Order XVIII, the right to begin is generally granted to the plaintiff:

> 1. **Right to begin. –** The plaintiff has the right to begin unless the defendant admits the facts alleged by the plaintiff and contends that either in point of law or on some additional facts alleged by the defendant the plaintiff is not entitled to any part of the relief which he seeks, in which case the defendant has the right to begin.
> 2. **Statement and production of evidence. –**
>
> (1) On the day fixed for the hearing of the suit or on any other day to which the hearing is adjourned, the party having the right to begin shall state his case and produce his evidence in support of the issues which he is bound to prove.
>
> (2) The other party shall then state his case and produce his evidence (if any) and may then address the Court generally on the whole case.
>
> (3) The party beginning may then reply generally on the whole case.

Moreover, where a process claim is asserted, depending on the facts, the burden of proof may shift to the defendant to prove non-infringement. This exceptional situation is provided for under Section 104A of the Patents Act, 1970:

> **Burden of proof in case of suits concerning infringement.**
>
> (1) In any suit for infringement of a patent, where the subject matter of patent is a process for obtaining a product, the court may direct the defendant to prove that the process used by him to obtain the product, identical to the product of the patented process, is different from the patented process if, –
>
> (a) the subject matter of the patent is a process for obtaining a new product; or
>
> (b) there is a substantial likelihood that the identical product is made by the process, and the patentee or a person deriving title or interest in the patent from him, has been unable through reasonable efforts to determine the process actually used:
>
> Provided that the patentee or a person deriving title or interest in the patent from him first proves that the product is identical to the product directly obtained by the patented process.
>
> (2) In considering whether a party has discharged the burden imposed upon him by subsection (1), the court shall not require him to disclose any manufacturing or commercial secrets, if it appears to the court that it would be unreasonable to do so.

Subject to the fulfillment of the condition precedents noted in Section 104A, this is another circumstance in which the defendant may be asked to lead evidence first.[194]

193 *Monsanto Technology LLC* v. *Nuziveedu Seeds Ltd*, (2019) 3 SCC 381.
194 See also Section 6.6.1 of this chapter for a detailed discussion.

In *Bajaj Auto Ltd* v. *TVS Motor Co. Ltd*,[195] the Madras High Court was confronted with a unique situation – a suit against the groundless threat of infringement and non-infringement *against* the patentee, as well as a subsequent suit for infringement *by* the patentee. On the limited issue of who should lead evidence first, the court held that the plaintiff in the earlier suit must lead the evidence first since the subsequent suit was more in the nature of a counterclaim of infringement by the patentee. This is yet another unique situation wherein the alleged infringer led evidence first.

6.6.7.3 Filing of affidavits of witnesses in evidence: not treated as evidence till tendered

According to Order XVIII(4) of the Code of Civil Procedure:

> **Recording of evidence.**
> (1) In every case, the examination-in-chief of a witness shall be on affidavit and copies thereof shall be supplied to the opposite party by the party who calls him for evidence:
> Provided that where documents are filed and the parties rely upon the documents, the proof and admissibility of such documents which are filed along with an affidavit shall be subject to the orders of the Court.
> (1A) The affidavits of evidence of all witnesses whose evidence is proposed to be led by a party shall be filed simultaneously by that party at the time directed in the first Case Management Hearing.
> (1B) A party shall not lead additional evidence by the affidavit of any witness (including of a witness who has already filed an affidavit) unless sufficient cause is made out in an application for that purpose and an order, giving reasons, permitting such additional affidavit is passed by the Court.
> (1C) A party shall however have the right to withdraw any of the affidavits so filed at any time prior to commencement of cross-examination of that witness, without any adverse inference being drawn based on such withdrawal: Provided that any other party shall be entitled to tender as evidence and rely upon any admission made in such withdrawn affidavit.

As per Section 1 of the Indian Evidence Act, 1872, affidavits are not included in the ambit of "evidence." Thus, typically, the affidavit of the witness goes through the process of "tendering" – the witness is put on oath and affirms the contents of the affidavit, and, thus, the affidavit contents effectively become oral evidence. Such oral evidence is normally taken into consideration by the court when facts need to be proved.

6.6.8 Experts

6.6.8.1 Role of experts and expert bodies and institutions

Although not strictly a separate institution, experts and expert bodies and institutions play a key practical role in patent matters. In this context, the Supreme Court of India, in *Monsanto Technology LLC* v. *Nuziveedu Seeds Ltd*,[196] held that:

> Summary adjudication of a technically complex suit requiring expert evidence also, at the stage of injunction in the manner done, was certainly neither desirable or permissible in the law. […]
> […] We are therefore satisfied that the Division Bench ought not to have disposed of the suit in a summary manner by relying on documents only, extracted from the public domain, and not even filed as exhibits in the suit, much less examination of expert witnesses, in the facts of the present case. There is no gain saying that the issues raised were complicated requiring technological and expert evidence with regard to issues of chemical process, biochemical, biotechnical and micro biological processes and more importantly whether the nucleic acid sequence trait once inserted could be removed from that variety or not and whether the patented DNA sequence was a plant or a part of a plant etc. are again all matters which were required to be considered at the final hearing of the suit.

195 2010 SCC Online Mad. 5031.
196 (2019) 3 SCC 381, paras 22–23.

Thus, experts and expert bodies and institutions are a critical component of proceedings where a patent's validity is questioned. Most oppositions and revocations typically involve one or more opinions from experts or expert bodies, and the legal framework contains sufficient provisions to deal with expert opinions and evidence. For instance, under the Patents Act, 1970, the Indian Patent Office has the power to receive evidence on affidavits, issue commissions for the examination of witnesses or documents and so on.[197] The Indian Patent Office may also allow any person to be cross-examined on the contents of their affidavit.[198]

6.6.8.2 Expert evidence under the Indian Evidence Act, 1872

The Indian Evidence Act, 1872, governs the rules of evidence applicable to enforcement proceedings under the Patents Act, 1970. It applies to all civil and criminal proceedings. This legislation has been amended and updated from time to time, including on the use of electronic documents and evidence.

Section 45 of the Indian Evidence Act, 1872, declares that the opinions of experts are "relevant facts." Therefore, these opinions must be considered by courts in patent matters when forming an opinion on the point of science or art. The law only requires such experts to be "especially skilled" in the relevant area of science or art without specifying a minimum threshold. The Supreme Court of India has held that an individual could be an expert not just by the special study of the subject but also by acquiring experience in the field.[199] Similar is the view of the Delhi High Court which, in a patent case where the expert witness produced did not hold a technology or engineering degree but had proven experience, held that an expert could be a person who possesses experience even if they did not have the educational qualification.[200] What is relevant is whether the person is skilled and has adequate knowledge of the subject. The observation of the court reads as follows:

> Be that as it may, it is accepted and recognised that a person could be an expert in an area of specialised knowledge by experience and he or she need not hold a degree in the field of specialised knowledge . A person can also become an expert by virtue of one's avocation or occupation.[201]

It is generally understood that, in patent matters, the opinions of experts are critical to understanding the background in the art, as well as to appreciating the contents of the prior art and the invention. An expert could also testify as to the meaning of the terms in the claim as understood in the art. Typically, both parties to a patent enforcement action will produce such expert evidence on infringement, novelty and inventive step.

The expert will usually be highly qualified and would exceed the threshold of a person having ordinary skill in the art.

There is a view expressed that the expert in a patent matter must have *personal* knowledge of the prior arts,[202] though this view is not correct. In law, all aspects of patent matters are viewed through the lens of a hypothetical person skilled in the art, who is normally deemed in law to automatically have knowledge of the prior arts. The correct view appears to be that the expert could testify as to their opinion on how a person skilled in the art would consider the matter.

The opinions of such experts are meant for matters of science or art, but, usually, such experts also give their opinions on infringement, novelty, obviousness and other grounds of invalidity. Even though such statements or conclusions on obviousness, novelty or infringement may also involve matters of law, it is not fatal to the admissibility of the expert opinion. Courts will focus more on the reasoning offered by the expert in the opinion. Expert opinions of the experts are not binding on the court.

197 Patents Act, 1970, §77(c)–(d).
198 Patents Act, 1970, §79.
199 *State of Himachal Pradesh* v. *Jai Lal*, (1999) 7 SCC 280.
200 *Vringo Infrastructure Inc.* v. *ZTE Corp.*, FAO (OS) 369 of 2014, order dated Aug. 13, 2014.
201 *Vringo Infrastructure*, FAO (OS) at para. 11.
202 *F Hoffmann-La Roche Ltd Cipla Ltd*, MIPR 2016 (1) 1.

6.6.8.3 Court-appointed scientific advisers

Section 115 of the Patents Act, 1970, empowers the court to appoint an independent scientific adviser to assist the court or to enquire and report upon any question of fact or opinion (but not involving a question of interpretation of the law). The Indian Patent Office maintains a roster of such scientific experts.[203] Courts usually resort to these scientific experts to gain an independent assessment. These assessments are considered valuable in highly contested matters where the parties' expert testimonies have offered widely disagreeing opinions. Like any other expert opinion, the opinion of a court-appointed scientific adviser is also not binding on the court.

As per Rule 103 of the Patents Rules, 2003, the Controller is to maintain a roll of scientific advisers, to be updated annually. The roll contains the names, addresses, specimen signatures and photographs of scientific advisers; their designations; and information regarding their educational qualifications, the disciplines of their specialization and their technical, practical and research experience.

A person must possess the following qualifications to be enrolled as a scientific adviser:

- a degree in science, engineering or technology or equivalent;
- at least 15 years of technical, practical or research experience; and
- holds or has held a responsible post in a scientific or technical department of the central or state governments or in any organization.[204]

The law provides that the fee or remuneration for such scientific advisers be provided by the Parliament, by law, for this purpose. However, usually, the parties share the costs of independent scientific experts.

The recently notified draft of the High Court of Delhi Rules Governing Patent Suits, 2020, also proposes the maintenance of a panel of scientific advisers to assist the court.

6.6.8.4 Hot-tubbing procedure

The procedure of hot-tubbing, where multiple expert witnesses give their evidence concurrently – and which has its origin in Australian law – is also permissible in India and has recently been ordered in some cases.[205] The procedure for recording expert evidence through a hot-tubbing protocol was specified in *Micromax Informatics Ltd* v. *Telefonaktiebolaget LM Ericsson*.[206] The Delhi High Court Rules have also been amended to incorporate this procedure,[207] including its protocol.[208]

Though there has yet to be a patent infringement action concluded in which evidence has been given by the hot-tubbing procedure, hot-tubbing is expected to be applied more frequently in the future.

6.6.9 Alternative dispute resolution: pre- and post-litigation mediation

Under the Commercial Courts Act, 2015, parties are usually expected to explore pre-litigation mediation. If the plaintiff does not seek urgent relief, Section 12A of the Commercial Courts Act, 2015, mandates pre-litigation mediation.

Section 89 of the Code of Civil Procedure also recognizes courts' inherent power to refer parties to arbitration, conciliation, mediation or other forms of alternative dispute resolution. A court can exercise this power at any stage if there exist elements of an acceptable settlement. The parties may also request such a referral themselves.

Almost all district courts and High Courts in India have mediation centers for pre- and post-litigation mediation. These mediation centers are usually attached to each of the High

203 A list of scientific advisers under Rule 103 of the Patents Rules, 2003, is available at https://ipindia.gov.in/roll-of-scientific-advisers
204 Patents Rules, 2003, r. 103(2).
205 E.g., Micromax Informatics Ltd v. *Telefonaktiebolaget LM Ericsson*, MANU/DE/1477/2019; *Telefonaktiebolaget LM Ericsson (Publ.)* v. *Intex Technologies (India) Ltd*, CS (COMM) 769 of 2016, order dated Jan. 30, 2019.
206 MANU/DE/1477/2019.
207 Delhi High Court (Original Side) Rules 2018, ch. XI r. 6.
208 Delhi High Court (Original Side) Rules 2018, annex G.

Courts or district courts and are managed by a fully functional secretariat. The mediators at these centers are trained professionals. It is also possible for parties to seek the appointment of an expert mediator with specialized technical learning, skills, experience and domain knowledge. Mediation proceedings have proved to be quite efficient in almost all parts of the country. Significant success has been generally observed in resolving IP rights disputes and, most recently, in the resolution of certain SEP-related disputes.[209]

6.7 Civil remedies

In a suit for patent infringement, plaintiffs are entitled to seek both interim remedies and final remedies. Section 108 of the Patents Act, 1970, concerns final remedies, whereas Section 94(c) and Order XXXIX of the Code of Civil Procedure concerns interim remedies. The usual types of interim and final remedies – and their governing standards – are discussed in Sections 6.6.4 and 6.7.1–6.7.4 of this chapter, respectively.

6.7.1 Permanent injunction

Under Section 108(1) of the Patents Act, 1970, a patentee may seek a permanent injunction as a final remedy. The Specific Relief Act, 1963, regulates the relief of permanent injunction, and courts retain discretion to deny permanent injunctions in some cases. For instance, in *F Hoffmann-La Roche Ltd* v. *Cipla Ltd*,[210] a permanent injunction was not granted because the defendant had already been in the market for several years, and the patent was about to expire. Usually, however, permanent injunctions follow a finding of infringement and validity in favor of the patentee.

The court may grant relief by way of an injunction for infringement of a partially valid specification where the invalid claim was framed in good faith and with reasonable skill and knowledge.[211] A permanent injunction may be granted only in cases where there is a valid patent, and the defendant has infringed that patent.

6.7.2 Damages or an account of profits

Under Section 108(1) of the Patents Act, 1970, the patentee has the choice of seeking either damages or an account of profits.[212] Plaintiffs cannot claim both as per settled law. The Act is silent on the quantification of damages. Unlike the US statute, for instance, the Act does not prescribe a lower threshold of reasonable royalty that has been interpreted to involve the application of the *Georgia-Pacific* factors.[213]

The general principle under Indian law is that damages will be compensatory in nature (i.e., the patentee should be restored to the position if the wrongful acts of the defendant had not occurred). Consequently, the measure of the damages is to be, as far as possible, akin to the sum of money that puts the plaintiff in the same position as they would have been in had they not sustained the wrong. Thus, for instance, if the patentee has shown a propensity to license the patent in the past, such licensing arrangements can become the guiding basis in assessing damages.

The reluctance of Indian courts to grant high-value damages is a thing of the past. It is usual, especially in pharmaceutical and SEP cases, for courts to grant damages or accounts of profits determined by the evidence, even if they seem of high value. In a few recent SEP disputes, the royalties payable ran into millions of dollars, even in interim arrangements, though this has not

209 Justice Prathiba M. Singh, "Samadhan-Mediation in Delhi" in *National Conference on Mediation and Information Technology* (High Court of Gujarat ed., 2022). "In Intellectual property rights ("IPR") disputes however, the average percentage of settlements arrived at is a whopping 84.50%...Notably, 2017 was a rare year for the [Delhi High Court Mediation and Conciliation] Centre which saw 100% of all IPR matters referred, being settled. Even thereafter the percentages of settlement in IPR matters are hovering around 85% to 95% in the pre-pandemic years. Compared to IPR matters, the percentage of commercial disputes that are settled is comparatively lesser..."

210 MIPR 2016 (1) 1.

211 Patents Act, 1970, §114.

212 Patents Act, 1970, §108(1).

213 *Georgia-Pacific Corp.* v. *United States Plywood Corp.,* 318 F. Supp. 1116 (S.D.N.Y. 1970), mod. and aff'd, 446 F. 2d 295 (2d Cir. 1971), cert. denied, 404 U.S. 870 (1971).

been made known internationally.[214] Thus, even in non-SEP cases, damages or accounts of profits are reasonable possibilities, especially if infringement is established by the patentee.

The purpose of an account of profits is to prevent the unjust enrichment of the defendant by the use of the patented invention. The patentee is treated as if they are conducting the business of the defendant and made the profits that the defendant made. As such, the upper limit of an award is the sum of profits made by the patent-infringing defendant. In most cases, an award of damages will equal or exceed the maximum award in an account of profits; however, an account of profits may greatly outstrip an award of damages in the right case.

For an account of profits, the profits must have been earned from the use of the patentee's invention, and, if the infringed invention formed only *part* of the overall product or process, then only that part of the profit attributable to the patented invention is recoverable. This is where the most difficulty is experienced in assessing the profits earned by the defendant, and a number of approaches may be taken during the assessment. Courts take the view that it would be unfair to the defendant to award a claim for all the profits where attribution of profits is possible. Where it is appropriate to apportion losses, the reference for the assessment will involve splitting the profits between the infringing and non-infringing parts of the process. Conversely, the patentee could also recover all of the profits of an invention; however, this turns on the facts of the case.

In the event that an infringer makes a loss in a manufacturing process, the sum by which the infringing process reduces those losses are recoverable on account.

Sometimes the patented invention has a readily discernible impact on profits, either positively or negatively. For instance, the patented invention may reduce the costs associated with the manufacturing process, making the process more efficient. In this case, a larger share of the profits would be payable to the patentee on an empirical basis. This would involve a comparison between the profitability achieved when the patented invention was used and when it was not. This brings the efficiencies introduced by the invention into consideration for the calculation of the portion of the profits to be awarded to the patentee.

As per Section 62(2) of the Act, no suit or other proceeding in respect of an infringement of a patent can be instituted during the period between the lapse of the patent (i.e., it had ceased to exist) and the publication of the application restoring the patent.[215] A patentee enjoys all entitlements and rights from the date of the patent's publication.[216] However, this right does not extend to instituting any proceedings for infringement until a patent has been validly and finally granted.[217] Nevertheless, the claim for damages would also be subject to the laws of limitation.

6.7.2.1 Punitive damages

Along with an account of profits or damages, courts can also impose punitive damages in the following exceptional circumstance: "wrongful conduct by the defendant, which has been calculated by him for himself, which may well exceed the compensation payable to the claimant."[218]

The above principle was applied by a single judge of the Delhi High Court recently in *Koninklijke Philips NV* v. *Amazestore*,[219] which was an SEP case. Indian courts have granted punitive damages in many other cases.[220]

6.7.2.2 Defenses to avoid damages or an account of profits

Courts refuse a grant of damages or an account of profits if the defendant proves that, at the date of the infringement, they were not aware and had no reasonable grounds for believing that the patent existed.[221]

214 See *Telefonaktiebolaget LM Ericsson* v. *Mercury Electronics*, 2015 (64) PTC 105 (DEL).
215 In *G Srinivasan* v. *Voltamp Transformers*, AIR 2017 Mad. 144, and *Koninklijke Philips Electronics NV* v. *Rajesh Bansal*, 251 (2018) DLT 602, the courts refused damages for the period after the expiry of the patent.
216 Patents Act, 1970, §11A(7).
217 Patents Act, 1970, §11A(7) proviso.
218 *Hindustan Unilever Ltd* v. *Reckitt Benckiser India Ltd*, (2014) ILR 2 Del. 1288, para 66 (citing *Rookes* v. *Barnard*, [1964] AC 1129).
219 260 (2019) DLT 135.
220 See *Vior (International) Ltd* v. *Maxycon Health Care Pvt. Ltd*, 2018 (74) PTC 87 (Del.).
221 Patents Act, 1970, §111(1).

The court may also refuse a grant of damages or an account of profits:

- "in respect of any infringement committed after a failure to pay any renewal fee within the prescribed period and before any extension of that period";[222] or
- "where an amendment of a specification by way of disclaimer, correction or explanation is allowed under [the Patents Act] after the publication of the specification [...] in respect of the use of the invention before the date of the decision allowing the amendment." However, damages or an account of profits may be granted if "the court is satisfied that the specification as originally published was framed in good faith and with reasonable skill and knowledge."[223]

6.7.3 Other remedies

The patentee may further seek the seizure, forfeiture or destruction of infringing articles, as well as of materials and implements predominantly used for the infringing activities.[224]

6.7.4 Costs

The court may, in its discretion, order the unsuccessful party to pay costs to the successful party in an infringement suit. The Code of Civil Procedure provides for the recovery of costs by and under Sections 35 and 35A.

While imposing costs, the court may weigh several factors: for instance, (i) the conduct of the parties; (ii) whether a party has succeeded only in part, even if that party has not been wholly successful; and (iii) whether the party had made a frivolous claim or counterclaim leading to delay in the disposal of the case, or had instituted a vexatious proceeding wasting the time of the court.

Certain guidelines have been laid down in the case of *Ten XC Wireless* v. *Mobi Antenna*[225] for determining costs in patent infringement suits, including that

- the parties shall submit their estimated future cost at the commencement of trial;
- the parties and court master shall maintain a record of the court time consumed; and
- the unsuccessful party is liable to pay costs to the successful party.

Costs awarded by the court may include:

- the actual costs of litigation;[226]
- a proportion of another party's costs;
- a stated amount in respect of another party's costs;
- costs from or until a certain date;
- costs incurred before proceedings began;
- costs relating to particular steps taken in the proceedings;
- costs relating to a distinct part of the proceedings; and
- interest on costs from or until a certain date.

6.8 Other actions

6.8.1 Cases involving groundless threats of illegal proceedings

6.8.1.1 What constitutes a "threat"?

Keeping in mind the serious negative effects and consequences associated with infringement proceedings, the stated policy of the law is that no person should unnecessarily be subjected to baseless threats of infringement. Under the Patents Act, 1970, groundless threats of infringement are considered civil wrongs.

222 Patents Act, 1970, §111(2).
223 Patents Act, 1970, §111(3).
224 Patents Act, 1970, §108(2).
225 2011 SCC Online Del. 4648.
226 E.g., Merck Sharp and Dohme Corp. v. *Glenmark Pharmaceuticals Ltd*, (2015) 6 SCC 807 (the plaintiffs were granted actual costs of the entire litigation proceedings); *Austin Nichols and Co.* v. *Arvind Behl*, 2005 SCC Online Del. 1276 (the Delhi High Court awarded INR 1,885,000 in favor of the plaintiff). No general or statutory rules apply; the same is at the discretion of the court.

A "groundless threat" under the Act is an unjustified or wrongful threat by which any person, whether having an interest in the patent or not,[227] threatens another with legal proceedings without a reasonable basis. It is important to note that the mere notification of the existence of a patent does not constitute a threat of proceedings within the meaning of the relevant section. In *LG Electronics India Pvt. Ltd* v. *Bharat Bhogilal Patel*,[228] the Delhi High Court clarified that

> if any proprietor or the right holder issues a notice to the custom officials and the custom officials act upon the same by restricting the imports of consignments of any party without the determination (prima facie or otherwise) of the factum of infringement of patent by the appropriate designated authority, then such notice by the right holder to the customs and the actions thereof by the customs either in the form of notice to that party or otherwise calling upon the party to explain its stand are all unnecessary illegal threats to that party.

In *Bata India Ltd* v. *Vitaflex Mauch GmbH*,[229] even a legal notice was considered a "threat," and, on facts, it was concluded that threats made by the defendant to the plaintiff were groundless, unjustifiable and wrongful.

6.8.1.2 Remedies

The court typically considers the grant of the following reliefs:

> (a) a declaration to the effect that the threats are unjustifiable;
> (b) an injunction against the continuance of the threats; and
> (c) such damages, if any, as he has sustained thereby.[230]

The court is also empowered to pass interim orders, as in any other civil suit. For instance, in *LG Electronics*,[231] a suit was initiated on the basis that the filing of a border enforcement action with customs without a finding of infringement from the court amounted to a groundless threat. In the facts of the case, the Delhi High Court passed an interim order staying the operation of a border enforcement action to stop the import of allegedly infringing goods, pending a final decision from a civil court on the issue of infringement.

6.8.2 Declaration of non-infringement

Declaration of non-infringement refers to an application to the court for a declaration that any new process or article does not infringe an existing patent.[232] Under Section 105 of the Patents Act, 1970, in order to object to declaratory relief, the following conditions precedent need to be fulfilled:

- The plaintiff has applied in writing to the defendant for a written acknowledgment to the effect of the declaration claimed.
- The plaintiff has furnished to the defendant the full particulars in writing of its products or process in question.
- The defendant has refused or neglected to give such an acknowledgment.

Normally, in civil suits, the plaintiff who has sought the relief of non-infringement bears the burden of proof. This was confirmed by the Madras High Court in *Bajaj Auto Ltd* v. *TVS Motor Co. Ltd*,[233] which went on to hold that, even though the defendant-patentee in the non-infringement filed a counterclaim of infringement, the burden of proof on the person seeking the declaration of non-infringement cannot be reduced or changed.

If the plaintiff in such a declaratory suit is successful, the court can issue a declaratory judgment that the specific product or process of the plaintiff does not infringe the identified patent. At the same time, Section 105(3) of the Patents Act, 1970, stipulates that the court cannot examine the patent's validity in such proceedings.

227 Patents Act, 1970, §106(1).
228 2012 (51) PTC 513 (Del.), para 97.
229 222 (2015) DLT 498.
230 Patents Act, 1970, §106(1).
231 (51) PTC.
232 Patents Act, 1970, §105.
233 2010 SCC Online Mad. 5031.

6.9 Appellate review

This section is limited to the miscellaneous aspects of review and appeal procedures not otherwise covered in Section 6.2.2. Appeals from orders of the Controller lie to the High Court. Appeals from the orders of a single judge of the High Court usually lie before the division bench of that court or the Supreme Court. Appeals from a commercial court (below the rank of the High Court) lie to the High Court.

Review, in Indian law, is only in case of an error apparent on the face of the record. A party who feels that the forum that rendered the judgment or order committed an error apparent on the face of the record can seek review.

6.9.1 Power of review of the Controller

The Controller has the powers of a civil court in any proceedings filed before it under the Patents Act, 1970, in respect of, among other things, reviewing[234] their own decision on an application made[235] within one month from the date of communication of such a decision or within an extended period not exceeding one month thereafter as the Controller may allow[236] in a prescribed manner.[237]

6.9.2 Review against civil court orders

Even in civil suits dealing with infringement, review applications may be preferred by parties when the condition for filing a review under Section 114 of the Code of Civil Procedure is fulfilled[238]. Section 114 of the Code provides as under:

> Subject as aforesaid, any person considering himself aggrieved—
> (a) by a decree or order from which an appeal is allowed by this Code, but from which no appeal has been preferred.
> (b) by a decree or order from which no appeal is allowed by this Code, or
> (c) by a decision on a reference from a Court of Small Causes,
> may apply for a review of judgment to the Court which passed the decree or made the order, and the Court may make such order thereon as it thinks fit.

6.9.3 Grounds for review

A review can be filed by any person aggrieved by an order or decree of the Controller or court from which an appeal is allowed, but no appeal has been preferred, or from which no appeal is allowed:

> and who, from the discovery of new and important matter or evidence which, after the exercise of due diligence was not within his knowledge or could not be produced by him at the time when the decree was passed or order made, or on account of some mistake or error apparent on the face of the record or for any other sufficient reason, desires to obtain a review of the decree passed or order made against him.[239]

An application for review must be accompanied by a statement setting forth the grounds on which the review is sought. Where the decision in question concerns any other person in addition to the applicant, the Controller shall forthwith transmit a copy of the application and the statement to the other person concerned.

234 Patents Act, 1970, §77(1)(f).
235 The application for review must be made in the format provided under Form 24 of the Patents Rules, 2003.
236 The application for extension must be made in the format provided under Form 4 of the Patents Rules, 2003.
237 Patents Rules, 2003, r. 130.
238 Grounds for review could be "a mistake" or "error apparent on the face of the record" "or any analogous ground" or "to prevent miscarriage of justice". See *Shivdev Singh & Ors.* v. *State of Punjab & Ors.,* AIR 1963 SC 1909.
239 Code of Civil Procedure, 1908, §114 r/w ord. XLVII.

6.9.4 Appeals from review

No appeal lies from the decision of a Controller rejecting an application for review.[240] Even under the Code of Civil Procedure, while an order allowing an application for review is appealable, an order rejecting an application for review is not.[241]

6.10 Selected topics

6.10.1 Compulsory licenses and public prejudice

Compulsory license is not directly relevant to the revocation of a patent. However, unlike voluntary licensing, it is a form of licensing that is involuntary and coercive in nature. Consistent with Article 31 of the TRIPS Agreement and the Doha Declaration, where there is a failure to fulfill the reasonable demand for the patented invention, or in a case of unreasonable pricing or failure to work the invention on a commercial scale, an interested person can seek a compulsory license.[242] The conditions for invoking compulsory licensing provisions are strict and must be fulfilled before such a license can be issued. Thus, there are hardly any compulsory licenses issued in India. The rare occasion when such a license was issued is a case of a cancer drug in which the courts came to the conclusion that the requirements of the public were not being met.[243]

Such compulsory licenses, if issued, would ordinarily only be for the domestic market and, among other stipulations, upon payment of a reasonable royalty.[244] Pursuant to Article 31*bis* of the TRIPS Agreement, a compulsory license can also be granted for the export of pharmaceutical products to countries with insufficient or no manufacturing capacity for that product. Although it is directed toward the greater public interest, compulsory license proceedings are adversarial in nature, and a detailed procedure complying with natural justice has been prescribed,[245] as have appeals from such decisions.[246] Under Section 92(3), the Central Government may notify the existence of a national emergency, extreme emergency or a case of public noncommercial use, and the detailed procedure would stand suspended.

However, in the unique and exceptional situation where the underlying cause resulting in the compulsory license is not addressed even after two years from the date of granting the compulsory license, the Central Government may, for any interested person, apply to the Controller to revoke the patent.[247] Interestingly, the Justice N Rajagopala Ayyangar Committee had proposed this provision on the logic that the threat of revocation was a sufficient incentive for the patentee to share any know-how associated with the working of the invention. This relation between the working of the invention and the sharing of associated know-how has been raised in the context of COVID-19 vaccination.[248]

Similarly, the Patents Act, 1970, also empowers the Central Government to use the invention for the purposes of the Government,[249] and, if the patentee refuses to comply with the Government's request and on unreasonable terms, the Central Government is authorized to seek revocation of the patent before the High Court.[250]

Independently, Section 66 of the Act reserves to the Central Government the residual power to declare a patent as revoked if the patent or the mode in which it is exercised is mischievous to the state or generally prejudicial to the public. This provision requires an opportunity for hearing being granted to the patentee before any such declaration or decision.

240 See Patents Act, 1970, §117A(2) (which prescribes appealable orders).
241 Code of Civil Procedure, 1908, ord. XLVII r/w ord. XLIII r. 1(w).
242 Patents Act, 1970, §§84(1), 92A.
243 *Bayer* v. *Union of India*, AIR 2014 Bom. 178.
244 Patents Act, 1970, §90 (detailing the terms and conditions imposed in such cases).
245 Patents Act, 1970, §§84–87.
246 Patents Act, 1970, §117-A(2).
247 Patents Act, 1970, §85(1).
248 *In Re: Distribution of Essential Supplies and Services during the Pandemic*, Suo Motu Writ Petition (Civil) No.3 of 2021, Order dated April 30, 2021; *Dharmendra Kumar Aggarwal* v. *GNCTD*, W.P.(C) 5173/2021, Order dated May 5, 2021.
249 Patents Act, 1970, §100(1).
250 Patents Act, 1970, §64(4).

6.11 Key challenges and efforts to improve patent case management

6.11.1 Lack of uniformity in decisions and specialized knowledge

Infringement cases are heard by judges of either the district courts or the High Courts not specially trained in the subject of patent law. A challenge that arises under the current regime of trial, especially before the district courts, is that the judges are not equipped to understand technical issues that arise in respect of patents. As the disputes arising under the Patents Act, 1970, are often highly technical in nature, a higher degree of understanding of the subject matter is required to ascertain a question of infringement or lack thereof.[251] For this purpose, specific rules of procedure, including for leading and examination of evidence, are desirable.

6.11.2 Delays in disposing of suits

The Supreme Court has held, pertaining to the issue of delays in the hearing and disposal of matters, that, in matters of patents, trademarks and copyrights, the state of affairs due to such delays is unsatisfactory.[252] It was held that there is a need to adhere to the provisions of Order XVII(1)(2) of the Code of Civil Procedure, whereby proceedings are to be held on a daily basis for quick disposal of the suit. The streamlined and expedited procedure under the Commercial Courts Act, 2015, has significantly helped in reducing delays, though more groundwork is needed. A recent development which has given further impetus to speedier adjudication of IP disputes is the establishment of the Intellectual Property Division in the Delhi High Court.

6.11.3 The IP Division, Delhi High Court

Post the abolition of the IPAB,[253] all pending cases before the IPAB were transferred to High Courts. The High Courts were thus faced with the task of managing both the already pending IPR cases before them as well as the transferred IPAB cases. In the Delhi High Court, this number of pending IP cases was expected to be around 4,000–5,000. With a view to streamlining dispute resolution of IP cases, including patent litigation, the Delhi High Court constituted India's first "IP Division,"[254] The Division uses specialized sets of Rules, specifically, the Delhi High Court Intellectual Property Rights Division Rules, 2022[255] and the High Court of Delhi Rules Governing Patent Suits, 2022. The Division is vested with various jurisdictions, including the original jurisdiction, the infringement jurisdiction, commercial suits, the appellate jurisdiction from the IP offices, the revisional jurisdiction from the commercial courts, and the extraordinary writ jurisdiction supervising all IP offices, including the Controller of Patents' Office.[256] Further, the Division provides for various novel features which are, illustratively, as under:

(i) New forms of evidence recording such as hot-tubbing and remote recording of evidence.[257]
(ii) Preservation of evidence and litigation hold notice.[258]
(iii) Guidance on computation of damages.[259]
(iv) Direction of consolidation of cases.[260]
(v) Constitution of Confidentiality Clubs and redaction of information.[261]
(vi) Summary adjudication of disputes.[262]
(vii) Panel of experts and recruitment of law researchers who are technically qualified like engineers, chemists, pharmacists, or civil engineers, to assist the IP Division.[263]
(viii) Mediation and Early Neutral Evaluation.[264]

251 *Onyx Therapeutics Inc.* v. *Union of India*, 2019 SCC Online Del. 11881.
252 *Bajaj Auto Ltd* v. *TVS Motor Co. Ltd*, 2009 (3) ARC 414.
253 Ministry of Commerce and Industry (IPR-Estt. Section), Government of India, Notification S.O.1668(E), April, 22, 2021.
254 High Court of Delhi, Office Order No.667/Original Side/DHC, July, 7, 2021.
255 Delhi High Court Intellectual Property Rights Division Rules, 2022.
256 Delhi High Court Intellectual Property Rights Division Rules, 2022, rr. 2(d), 2(l) and 2(i).
257 Delhi High Court Intellectual Property Rights Division Rules, 2022, rr. 15 and 16.
258 Delhi High Court Intellectual Property Rights Division Rules, 2022, r. 18.
259 Delhi High Court Intellectual Property Rights Division Rules, 2022, r. 20.
260 Delhi High Court Intellectual Property Rights Division Rules, 2022, r. 26.
261 Delhi High Court Intellectual Property Rights Division Rules, 2022, r. 19.
262 Delhi High Court Intellectual Property Rights Division Rules, 2022, r. 27.
263 Delhi High Court Intellectual Property Rights Division Rules, 2022, rr. 31 and 32.
264 Delhi High Court Intellectual Property Rights Division Rules, 2022, r. 37.

While the creation of the Division on a non-exclusive basis was notified in July, 2021,[265] the Rules for the Division in its current form, that is the Delhi High Court Intellectual Property Rights Division Rules, 2022, vesting exclusive jurisdiction in the IP Division and laying down procedure for IP disputes, were notified in February 2022. This Division now consists of three Single Judge Benches exclusively dealing with IPR disputes. Since the setting up of the Division, the disposal rate for IP cases, specifically in patent matters, has witnessed substantial improvement. In addition the Delhi High Court has also nominated a non-exclusive IP Appellate Division consisting of a Bench of two Judges which hears appeals from the IP Division.

As of July 2022, the IP Division of the Delhi High Court has approximately 4,000 pending IP disputes out of which a substantial number are trademark and copyright disputes. Patent cases account for approximately 600–650 cases, most of which are appeals transferred from the IPAB. Notably, the filing of patent infringement actions has risen in recent times and approximately 50–60 actions are filed annually before the Court. In the IP Division, trends show that the disposal figures are rising and it is estimated that the Division should bring in greater efficiency.

The IP Division of the Delhi High Court has also been received well internationally. The recent USTR 2022 Special 301 Report discusses the establishment of the Delhi High Court's IP Division as a positive development and emphasizes continued engagement of the U.S. with India on IP matters.[266]

As far as other states are concerned, in the Bombay High Court and the Madras High Court, post the abolition of the IPAB, the total number of pending patent disputes is, approximately, around 450–500 cases and 264 cases respectively. The Gujarat High Court has in fact nominated a non-exclusive bench for adjudication of all IP disputes.

On this note, a testament to the Delhi High Court IP Division's efficacy in streamlining dispute resolution of IP cases may also be found in the fact that the Parliamentary Committee which had been set up to look into IP issues in India had earlier recommended (in 2021), to re-establish the IPAB, stating that the abolition decision was one taken in a hurry and there should have been stakeholder consultation.[267] However, post-establishment of the IP Division in the Delhi High Court, in April 2022 the Committee revised its recommendation[268] and recommended that IP divisions like at the Delhi High Court should be established in all High Courts in the country. The relevant observations of the Report dated April 6, 2022 read:

> 3.12 The Committee notes that the dissolution of IPAB would lead to transferring of all IP-related appeals including the pending cases to High Courts and Commercial Courts (in copyright matters). This may create additional burden on such courts which are already reeling under huge backlog of cases with inadequate expertise in hand to deal with IPR matters. It, therefore, opines that establishing an Intellectual Property Division (IPD) with dedicated IP benches as done by Delhi High Court in the wake of abolition of IPAB would ensure effective resolution of IPR cases on a timely basis. The Committee, therefore, recommends that the Government should take appropriate measures to encourage setting up of IPD in High Courts for providing alternative solution to resolve IPR cases.

Thus, the constitution of specialized IP Divisions for speedier and efficacious resolution of IP disputes, specifically patent litigation, seems to be the way forward for India.

265 High Court of Delhi, Office Order No.667/Original Side/DHC, July 7, 2021.
266 Office of the United States Trade Representative, 2022 Special 301 Report, April 2022, page 56.
267 Department Related Parliamentary Standing Committee on Commerce (Rajya Sabha, Parliament of India), Review of the Intellectual Property Rights Regime in India, Report No.161, July, 2021/ Shravana, 1943 (Saka), July 23, 2021, paras. 9.7–9.8.
268 Department Related Parliamentary Standing Committee on Commerce (Rajya Sabha, Parliament of India), Action Taken by Government on the Recommendations/ Observations of the Committee contained in its One Hundred and Sixty First Report on "Review of the Intellectual Property Rights Regime in India," Report No. 169, April, 2022/ Chaitra 1944 (Saka), April 6, 2022, para. 3.12.